LONGFORM RESEARCH PAPER

Rent or Revenue?

The History of Tax versus Royalty on Natural Resources, with Particular Reference to Oil and Gas in British Columbia

Prepared in response to contemporaneous reporting on B.C.'s 2026 royalty-framework dispute, including Business in Vancouver's investigation of an alleged Budget 2026 price-forecast error.

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Abstract

A royalty is not a tax. In Canadian public finance that distinction is more than semantic. A royalty is the owner's reserved share of production from a resource the Crown holds in right of the province. A tax is a compulsory levy on income, property, or activity. British Columbia's oil and gas fiscal system has always mixed the two instruments, and the mix has been politically contested for more than seventy years.

This paper traces that history from early Peace River exploration through the 1950s commercial opening, the Barrett-era energy nationalism of the 1970s, the 1974–75 federal–provincial tax war over royalty deductibility, the 1992 Petroleum and Natural Gas Royalty and Freehold Production Tax Regulation, the credit-heavy Montney boom of the 2000s and 2010s, the 2021 independent review that declared the system "broken," and the unfinished 2022–2027 reform. It then situates the August 2026 controversy reported by Business in Vancouver: an alleged Budget 2026 error that used plant-inlet prices without netting transportation and processing costs, overstating the public share of gas profits, and a proposed new framework that Treaty 8 First Nations and several economists say would capture far less than the government's stated 50 percent of after-cost profits.

The central finding is structural. Because nearly all producing oil and gas rights in British Columbia are Crown-owned, royalties—not corporate income tax—are the province's principal instrument for capturing resource rent. When royalties are eroded by credits, cost allowances, and optimistic price assumptions, the public treasury and First Nations revenue-sharing agreements lose first; income tax does not fill the gap. That is why a pricing error in a budget table is not a bookkeeping curiosity. It is a claim on a non-renewable public asset whose remaining value, in the Montney alone, is commonly estimated in the hundreds of billions of dollars.

1. The triggering document: what the BIV story actually says

On 26 August 2026, Business in Vancouver published “Budget error could cost B.C. billions in gas royalties,” circulated the same day by BIV News on X. The article is not a general history. It is an investigation of a specific claim: that Budget 2026’s natural-gas price forecasts failed to subtract transportation and processing costs from market prices, and that those inflated “plant inlet” figures were then used to advertise the fiscal benefits of a new royalty framework scheduled for 1 January 2027.

The narrative is anchored in a 29 June 2026 closed-door meeting in Fort St. John. Energy Minister Adrian Dix told Treaty 8 First Nations that the province had put its estimates at “$2.4 billion more in royalty revenues than what we had proposed before,” and that those estimates were drawn from Budget 2026. Nancy Olewiler of Simon Fraser University, co-author of the 2021 independent royalty assessment, told BIV the forecasts failed to net costs of getting gas to processing plants. She estimated the overstatement at roughly $500 million a year in royalties. Over five years that sum is comparable to the province’s three-year health-care expansion or to wildfire spending from 2021 to 2024.

Premier David Eby, asked on 25 August 2026, said he was “not familiar with any error in the budget related to oil and gas revenues.” Four Treaty 8 chiefs had already delivered a letter on 14 July identifying the alleged error and warning that the latest proposed framework would capture only 11 to 14 percent of producer profits under most price scenarios—well below the 50 percent after-cost target announced in 2022. James Tate, counsel for one of the nations, told BIV the public was “about to be robbed of billions of dollars over decades because a new royalty design is being chosen based on a mistake.”

The article also reports a 2024 joint analysis, obtained by BIV, in which the government and Treaty 8 staff concluded that the 2022 design itself would have captured only 20–30 percent of industry profits, missing the 50 percent target. Experts working for the nations estimated that, relative to a tighter regime, the 2022 design could have left up to $50 billion of public revenue on the table over the life of the Montney. Industry lobbying on royalties was intense: BIV counted at least 192 communications with senior public office holders in the twelve months to the end of June 2026, almost all after 1 January.

Those claims are contemporaneous and contested. The finance and energy ministries did not answer BIV’s questions before publication. This paper does not adjudicate the internal budget model. It does explain why the distinction between a royalty price at plant inlet and a market price before costs is not a technicality, and why British Columbia has historically collected almost all of its oil-and-gas rent through royalties rather than through corporate tax.

2. Conceptual framework: royalty, tax, and rent

2.1 What a royalty is

In property law a royalty is a reserved share of production paid to the owner of the mineral in situ. The payer is a licensee or lessee who has been granted the right to explore and produce. The payment is consideration for alienation of the Crown’s share of a wasting asset. It is due whether or not the producer earns an accounting profit. Historically it was often taken in kind; in modern

British Columbia it is taken in cash, calculated on a reference price and a statutory rate, then reduced by allowances and credits.

Because the Crown in right of British Columbia owns nearly all producing petroleum and natural-gas rights—CAPP and provincial materials put the Crown share of producing rights near 100 percent—the royalty is the ordinary instrument of ownership. Freehold acreage exists, but it is a small fraction of production. On freehold lands the province levies a freehold production tax designed to parallel the Crown royalty so that the two tenures do not create a fiscal haven. The Petroleum and Natural Gas Royalty and Freehold Production Tax Regulation, B.C. Reg. 495/92, covers both instruments in one code. Officials and industry therefore speak of "royalties" even when the legal form on a given tract is a tax.

2.2 What a tax is

A tax is a compulsory unrequited payment to government. Corporate income tax is levied on profit after deductions. British Columbia also levies an industrial carbon tax, municipal property tax, and various fees. Mining in the province is subject to a distinct Mineral Tax that is itself a hybrid of net-current-proceeds and net-revenue charges—an illustration that "royalty" and "tax" labels in resource statutes are often policy choices rather than pure legal categories.

The federal government taxes corporate profits under the Income Tax Act. For decades the treatment of provincial royalties in that calculation has been the flashpoint of Canadian resource federalism. A true property royalty is, in ordinary commercial accounting, a cost of goods. Ottawa's 1974 decision to disallow the deduction of provincial royalties, and to substitute a limited abatement, was an explicit claim that many provincial charges had become "thinly disguised income taxes." That episode is treated in section 6.

2.3 Economic rent and Hartwick's rule

Resource economists distinguish three layers of return: recovery of costs including a normal return to capital; compensation for risk; and economic rent—the surplus that exists because the deposit is better than the marginal deposit. A well-designed royalty or resource-rent tax aims at the third layer. If government takes too little rent, the surplus accrues to private owners of capital, often non-resident. If it takes too much, or takes it in a form that does not share price and cost risk, investment migrates.

John Hartwick's 1977 rule states that a jurisdiction consuming a non-renewable resource should invest the rent in reproducible capital if it wishes to sustain consumption. Norway's Government Pension Fund Global is the textbook application. Alberta's Heritage Fund, launched in the mid-1970s with a 30 percent savings rate, later cut to 15 percent and then suspended after the 1986 price crash, is the cautionary Canadian case. BIV quoted UBC energy economist Werner Antweiler: Canadian politicians "have never understood the Hartwick Rule." British Columbia never created a comparable oil-and-gas heritage fund. Royalty receipts have flowed into general revenue and been spent.

2.4 Why the mix matters in B.C.

The 2024 joint analysis cited by BIV found that royalties accounted for as much as 94 percent of what the province collected from the oil and gas sector, against about five percent from the industrial carbon tax and up to one percent from corporate income tax. That composition is not an accident. Corporate tax is levied on taxable income after interest, capital cost allowance, and other deductions; many large producers can manage taxable income across jurisdictions. A royalty, by contrast, attaches to molecules produced in British Columbia. If the royalty is thin, the province has no second instrument of comparable scale.

Instrument	Legal basis	What it captures
Crown royalty	Petroleum and Natural Gas Act; Reg. 495/92	Owner's share of Crown production
Freehold production tax	Same regulation	Parallel levy on privately owned minerals
Corporate income tax	Federal ITA; B.C. Income Tax Act	Share of accounting profit after deductions
Industrial carbon tax	Carbon Tax Act	Emissions price, not resource rent
Bonus bids and rentals	Tenure under PNG Act	Up-front payment for exploration rights
Municipal property tax	Local government statutes	Fixed plant and land, not the reservoir

Table 1. Principal fiscal instruments applied to B.C. oil and gas.

3. Ownership: why British Columbia is a royalty province

Canadian provinces inherited public ownership of ungranted lands and minerals. Section 109 of the Constitution Act, 1867 vested public lands, mines, minerals, and royalties in the provinces that held them at Confederation. British Columbia entered Confederation in 1871 on terms that preserved provincial ownership of public lands. Subsequent grants of surface title often reserved minerals to the Crown. The result, in the Western Canada Sedimentary Basin's British Columbia portion, is near-complete Crown ownership of petroleum and natural-gas rights.

Section 92A, added in 1982 as the "resources amendment," confirmed exclusive provincial legislative authority over exploration, development, conservation, and management of non-renewable resources, and authorized "any mode or system of taxation" on those resources and their primary production, provided the tax does not discriminate against interprovincial exports. The amendment was a direct response to 1970s federal–provincial conflict over oil and gas pricing and taxation. It does not convert a royalty into a tax; it confirms that provinces may use either instrument.

Indigenous title and treaty rights sit beside this Crown-ownership story rather than inside it. Northeastern British Columbia is Treaty 8 territory. The 2021 B.C. Supreme Court decision in Yahey v. British Columbia found that the cumulative effects of industrial development, including petroleum activity, had unjustifiably infringed Blueberry River First Nations' treaty rights. That judgment, and the revenue-sharing agreements that followed it, make the royalty rate a reconciliation instrument as well as a fiscal one. A lower Crown royalty automatically lowers the base on which many of those agreements pay.

4. Origins of the industry and the first royalty code, 1912–1965

4.1 Shows, seeps, and the Peace

Hydrocarbon seeps along the Peace and Pouce Coupe were known to Indigenous people and recorded by later travellers. Commercial interest arrived in the early twentieth century.

Provincial government wells were drilled in the Peace River area around 1920. A 1922 Imperial well at Rolla found oil and gas but was stranded by distance from markets. The industry that matters for fiscal history begins after the Second World War, in the slipstream of Alberta's Leduc discovery (1947) and the construction of export pipelines.

A new Petroleum and Natural Gas Act came into force in 1947 and, though imperfect from industry's point of view, unlocked permit activity. In November 1947 three large permits were granted to the Peace River Natural Gas Company group associated with Frank McMahon and Pacific Petroleums. Dawson Creek received piped gas in October 1950 through a small Westcoast line using salvaged Canol pipe—the first community in British Columbia served by natural gas. Pacific's Fort St. John No. 1 well, west of Taylor, found oil below 5,000 feet in November 1951. Boundary Lake No. 1 (1955) established the province's first continuous oil field in 1956. Westcoast Transmission's large-diameter line from the Peace to the Lower Mainland and the U.S. Pacific Northwest, completed in 1957, created a market.

4.2 The statutory royalty of the 1950s

The consolidated Petroleum and Natural Gas Act of the mid-1950s imposed a royalty on every licensee and lessee, calculated "free and clear of any deductions whatsoever." Crude petroleum was on a sliding schedule by monthly barrels. Other liquid hydrocarbons and sulphur obtained by processing were charged at 12.5 percent. Natural gas or residue gas was charged at 15 percent, but not less than three-quarters of a cent per thousand cubic feet. Sale of production was deemed to include the Crown's royalty share and to occur at the highest competitive price received for a like product under comparable conditions.

That design is the classic gross royalty: a percentage of production or of gross value, with a floor, and without netting gathering or processing costs. It is simple to administer and transparent. It is also harsh on high-cost or low-productivity wells and generous to low-cost wells when prices rise. Every subsequent reform in British Columbia has been an argument about whether to keep that simplicity or to move toward a net, cost-sensitive charge that looks more like a profits tax while remaining, legally, a royalty.

4.3 Underpricing as industrial policy

Through the Social Credit years of W.A.C. Bennett, natural gas was treated as an industrial input and an export staple. Later critics, including the Barrett government and subsequent academic work, argued that long-term export contracts and domestic utility pricing transferred rents to U.S. buyers and to B.C. consumers rather than to the provincial treasury. An SFU thesis on 1972–75 energy policy put the point bluntly: the province "grossly underestimated the future value of natural gas." That diagnosis—that the public owner sold too cheap, too early—is the recurring motif of B.C. gas politics, restated in 2011 by the Pembina Institute, in 2021 by Olewiler and Winter, and in 2026 by BIV's sources.

5. The 1970s: royalties as instruments of economic nationalism

5.1 Price shocks and the Barrett program

The first OPEC shock arrived as Dave Barrett's New Democratic Party government took office in 1972. Resource policy was a central part of the government's program: farmland protection, public auto insurance, and a more aggressive claim on mineral and hydrocarbon rents. Attorney General Alex Macdonald told the legislature that British Columbians were “not going to be drilled and bored and punished and blown and flared and capped by the international oil companies.”

In 1973 the Petroleum and Natural Gas Act was amended to raise the ceiling on petroleum royalties during the initial term of a lease to as much as 40 percent of gross production, with a floor of 10 percent. Natural-gas and sulphur royalties on a lease’s initial term were capped at one-sixth of gross production. Discovery wells received a three-year royalty holiday; step-out wells received a reduced schedule. The design combined a higher take on established production with incentives for new finds—the same vintage logic that later produced “old oil,” “new oil,” and “third-tier oil” across Western Canada.

5.2 The British Columbia Petroleum Corporation

In the autumn of 1973 the government created the British Columbia Petroleum Corporation under the Petroleum Corporation Act. Barrett described the intent as nationalizing “the small joint of pipe between the wellhead” and the buyer, not the wells or the pipelines. BCPC stood between producers and Westcoast Transmission. It paid producers a predetermined royalty-free netback and sold gas onward at a higher wholesale price. The spread, after Westcoast’s regulated return, accrued to the province.

The corporation was a royalty by another means. Instead of raising the statutory percentage and collecting cash, the province captured rent in the marketing margin. Gas sold to BCPC was, under later regulations, exempt from the ordinary royalty schedule because the rent had already been taken in the price. That structure later collided with federal income-tax rules that treated the producer as if it had received the higher market price.

5.3 Mining royalties as a parallel experiment

The same government enacted the Mineral Royalties Act, raising the province’s share of metal-mining rents and producing a sharp reaction in equity markets. Barrett defended the policy by comparing B.C. unfavourably with Ontario and by arguing that companies remained profitable after the new charges. The mining fight matters for oil and gas because it rehearsed the same vocabulary: royalty versus tax, windfall versus normal profit, capital flight versus fair return. Social Credit’s return to office in 1975 did not erase the hydrocarbon changes; it did change the political tone from confrontation to accommodation.

6. The federal–provincial tax war, 1974–1982

The most important “tax versus royalty” episode in Canadian history is not provincial. It is federal.

When world oil prices multiplied in 1973–74, provincial royalties and other charges rose with them. Federal corporate-tax collections from the industry did not. Royalties were deductible expenses. The higher the provincial take, the smaller the federal base. Ottawa was simultaneously subsidizing imported oil for eastern consumers. The May and November 1974 federal budgets responded by disallowing provincial royalties and similar charges as deductions in computing taxable income, and by offering a limited additional abatement for oil and gas profits.

Finance Minister John Turner's explanation is the canonical Canadian statement of the tax/royalty problem:

> *I acknowledge that royalties in respect of property rights have traditionally been deductible as a business expense. However, in tax reform we began the process of disallowing certain income tax royalties in the mineral field and substituting federal tax abatements. Today, it is evident that a royalty is no longer a royalty in the traditional meaning of the word. There have emerged various provincial charges that are thinly disguised income taxes.*

— John Turner, budget speech, November 1974, as quoted in Helliwell, MacGregor, McRae and Plourde, Osgoode Hall Law Journal (1988).

The economic effect in British Columbia was immediate. BCPC paid producers a royalty-free netback well below the wholesale price. Federal tax calculations treated producers as if they had received a higher amount. Producers were, in Barrett's phrase, taxed on money they were "in fact, not receiving." The province eventually paid Ottawa the producers' federal tax out of provincial revenue—an extraordinary admission that the two governments were fighting over the same rent.

The National Energy Program (1980) intensified the conflict by introducing a Petroleum and Gas Revenue Tax, a Canadian Ownership Charge, and a claimed federal share of frontier and offshore resources. Western provinces treated the program as an assault on section 109 ownership. The 1982 constitutional settlement, including section 92A, and the 1985 Western Accord unwound much of the NEP architecture. Federal tax law later restored a resource allowance and, in the 2000s, full deductibility of Crown royalties, replacing the allowance. The legal peace did not end the policy argument. It merely returned the argument to provincial royalty design.

7. The 1992 settlement and the modern code

The current legal architecture dates from 18 December 1992, when B.C. Reg. 495/92 was deposited, effective 1 January 1993. The Petroleum and Natural Gas Royalty and Freehold Production Tax Regulation created a single administrative system for Crown royalties and freehold production tax. Producer Cost of Service (PCOS) and Gas Cost Allowance (GCA), first adopted in royalty regulation in 1985, were carried forward. Those allowances deduct the cost of gathering, compressing, and processing the Crown's share—an explicit move away from the 1950s "free and clear of any deductions" gross royalty.

Antweiler's comment to BIV is the standard historical reading of 1992: the system was designed to jump-start a lagging provincial industry and help it catch Alberta. Vintage rates followed. By the late 1990s the regulation distinguished Base 15 gas (generally pre-June 1998), Base 12, and Base 9 (post-1998 wells meeting drilling-completion rules). Rates rose with a reference price—the greater of the producer's plant-inlet price and a Posted Minimum Price—from a floor toward a cap of 27 percent at high prices. Conservation gas from oil wells had a lower schedule. Natural-gas liquids carried a flat 20 percent; sulphur 16.667 percent. Oil retained old/new/third-tier vintage categories familiar across the prairie basin.

The 1992 code was already a hybrid. The headline rate looked like a gross royalty. The GCA and PCOS made it a netback royalty. Every later credit made it more like a discretionary industrial subsidy administered through the royalty invoice.

8. The shale transition and the credit state, 2001–2020

Hydraulic fracturing and horizontal drilling transformed the Montney Formation from a secondary target into one of North America's lowest-cost gas plays. British Columbia's well stock and production mix changed faster than the regulation. Governments of both parties responded with programs designed for a pre-shale world of high finding costs and the risk of shut-in wells.

Year	Program or change	Purpose as stated at the time
1985 / 1992	GCA and PCOS	Deduct gathering and processing of Crown share
1998	Base 9 / Base 12 / Base 15	Lower rates for newer vintage gas
2001	Low-productivity program	Keep late-life wells from being shut in
2002	Coalbed methane credit	Encourage a play that never scaled
2003	Marginal wells; Deep Well Credit	Offset depth and flow-rate costs
2004	Infrastructure Royalty Credit	Pay up to 50% of access infrastructure
2005	Ultra-marginal wells	Shallow, low-rate new drills
2008	Net Profit Royalty Program	Remote / shale capital intensity (Horn River)
2009	Deep-credit increase; boundary redraw; temporary relief	Compete for capital after the price crash
2014	Tier 1 / Tier 2 deep wells; min. rates 3–6%	Fit long laterals; put a floor under credits
2016–19	Clean / Clean Growth infrastructure credits	Rebrand infrastructure credits toward GHG projects

Table 2. Principal additions to the 1992 royalty code, compiled from the 2021 independent assessment appendix and provincial backgrounders.

The quantitative record of those programs is now public because Olewiler and Winter were given access to it. As of March 2021, accumulated deep-well credits totalled $7.325 billion, of which $3.56 billion had been drawn down, leaving more than $3.7 billion outstanding. Infrastructure credits awarded from 2004 to 2020 totalled $1.733 billion, with a net outstanding balance after cancellations of about $645 million. The Pembina Institute had earlier estimated $1.047 billion in foregone royalties from programs it could measure between 2003 and 2009, plus $575 million in committed gas-road spending.

Effective royalty rates fell as credits matured. The independent assessment found the effective rate, defined as net royalties divided by plant-outlet value, declined from 8.4 percent in 2013 to 2.4 percent in 2020. Net royalties as a share of gross royalties fell from around 40 percent in the mid-2010s toward 19 percent in 2019/20. Average net royalty over the decade before the review was about 5.5 percent; average effective royalty about 5 percent or less. Gas Cost Allowance rose from roughly 10 percent of inlet prices in 2003/04 to 75 percent in 2020/21 as processing intensity and cost claims grew.

Production, meanwhile, soared. B.C. supplied the entire net increase in Canadian gas production between 2016 and 2025 in the figures cited by Jim Stanford; the provincial share of national output rose from 24 percent to 38 percent. Royalties did not rise with volume. In 2008–09 the province collected about twice the royalties it collected in 2024–25, from less than half the production. Gas royalties were 3.4 percent of total provincial revenue in 2008–09 and 0.8 percent in 2024–25. The 2022 price spike after Russia's invasion of Ukraine was the exception that proved the rule: royalties briefly exceeded $2 billion, then subsided. CAPP estimates more than $24 billion in royalties paid in B.C. since 1950—a large cumulative number that still leaves open the question of the share of rent left on the table.

9. The 2021 review: a system declared broken

On 7 October 2021 the Horgan government released A Review and Assessment of the Natural Gas Royalty System in British Columbia by Nancy Olewiler (Simon Fraser University) and Jennifer Winter (University of Calgary). The report's language was unusually plain for a commissioned study. The system was "highly complex," designed for different technology and prices, costly to administer and audit, and productive of incentives "that do not promote efficiency." It had "contributed to a significant decline in the Crown's share of the net economic value." There was "no apparent market failure that currently justifies the continuation" of the deep-well and infrastructure credits.

Deep wells were no longer exceptional; they were how the Montney is drilled. Credits therefore paid firms to do what geology and private optimization already required. Low-productivity, marginal, and ultra-marginal rate reductions kept low-value wells online, increasing land disturbance and methane risk. Infrastructure credits could double-count costs already reflected in GCA. Administrative burden was split among the energy ministry (policy), the finance ministry (billing), and the regulator (data), with high error rates after the Petrinex reporting transition.

The authors recommended a comprehensive overhaul rather than another patch: simplify; value production at a transparent point; use industry-average rather than well-specific costs where possible; eliminate obsolete volume incentives; minimize grandfathering; and align, where useful, with Alberta's 2017 Modernized Royalty Framework, which uses a flat pre-payout rate and a revenue-minus-cost post-payout rate.

Public engagement in November–December 2021 produced a What We Heard report in January 2022. A large majority of survey respondents agreed the system needed reform. Environmental and public respondents favoured higher rates and fewer capital-recovery mechanisms. Industry respondents, a small share of the survey, argued for continued cost recovery and interjurisdictional competitiveness.

10. Reform announced, delayed, and renegotiated, 2022–2027

On 19 May 2022 the province announced a new framework. The political commitment was explicit: capture a fair return, end inefficient fossil-fuel subsidies, and—in the language used then and repeated by Stanford and others—aim at 50 percent of after-cost profits. Minimum royalty rates would rise from 3 percent to 5 percent. Legacy reduction programs would be phased out. New wells would face a revenue-minus-cost structure: a low rate until drilling and completion capital was recovered, then a price-sensitive rate. Land-healing and emissions-reduction pools would absorb some unused credits. Transition regulations under Order in Council No. 263 amended Reg. 495/92 effective 1 September 2022.

The original timetable slipped. Gas wells spud on or after 1 September 2022 entered transition rules; oil wells were later given a 1 September 2024 start. The full new framework, once slated for

2024, was extended to 1 January 2027. Existing wells keep the old code until 31 December 2026. Provincial web pages updated in 2024 and 2026 describe the new system as price-based once it is in force.

Two facts about the transition explain the 2026 fight. First, the 50 percent profit-share target was a political goal, not a statutory formula. Antweiler told BIV there is “no magic number.” Second, the government continued to negotiate the actual parameters in confidence with industry and Treaty 8. A 2024 internal analysis obtained by BIV conceded that the 2022 design would capture only 20–30 percent of profits. The government then scrapped that design and opened another round. By June 2026 Dix was pitching an “adapted plus bridging” system to Treaty 8 leaders and tying a $2.4 billion incremental-revenue claim to Budget 2026.

11. The 2026 controversy in fiscal context

11.1 What Budget 2026 published

Budget 2026 forecast natural-gas royalties of $942 million in 2025/26, rising to about $1.3 billion in 2026/27 and $1.57 billion by 2028/29 in the tables circulating from the fiscal plan. Natural resource revenue as a whole was projected to rise 17.8 percent in 2026/27, with gas royalties a principal driver, on the assumption of higher prices and LNG-related volumes. The fiscal plan’s commodity table listed a plant-inlet natural-gas price rising from $1.12 per gigajoule in 2025/26 to $2.18, $2.39, and $2.48 over the following three years—figures that Desjardins noted were still below the private-sector average, a traditional prudence buffer.

Olewiler’s critique, as reported by BIV, is that those plant-inlet figures were not true plant-inlet figures. Monthly royalties are calculated on the plant-inlet price, which is market price net of the cost of getting gas to the plant. If the budget used a market or hub price without subtracting transportation and processing, it overstated the price that actually enters the royalty formula and therefore overstated both current-law revenue and the incremental revenue of any new formula calibrated to that price. Five hundred million dollars a year is her estimated magnitude. Dix’s $2.4 billion five-year increment would be at risk of being an artefact of that price.

11.2 What the Treaty 8 letter adds

The 14 July 2026 letter from four Treaty 8 chiefs, as quoted by BIV, goes beyond the price error. It accuses the province of setting aside joint technical work, of capitulating to multi-jurisdictional producers, and of stacking “mistake upon mistake.” The nations’ experts put the new framework’s profit capture at 11–14 percent under most price cases. Tate described a drilling-and-completion allowance that would “effectively resurrect” the fiscal effect of the old deep-well credit and forgo up to $1 billion more. He also alleged that producers could deduct payments made to Treaty 8 for environmental disturbance, and even deduct the carbon tax, from royalties —“a ‘polluter pay’ system into a ‘public pay’ system.”

Those are allegations about a framework that, as of late August 2026, had not been published as final regulation. They should be read as part of a bargaining record, not as a gazette. They are nonetheless consistent with the longer history: every net-cost royalty becomes a fight over which costs are allowed. Deep-well credits, GCA, PCOS, infrastructure credits, and now a drilling-and-completion allowance are the same argument in different clothes.

11.3 Industry's case

Producers and associations argue that B.C. still competes with Alberta for capital on a shared basin; that LNG netbacks are not yet a permanent high-price regime; that cost allowances are not subsidies but recognition that the Crown's royalty share should bear its own gathering and processing cost; and that regulatory, permitting, and emissions costs in B.C. are already higher than in competing jurisdictions. Tourmaline's disclosure that B.C. Montney wells can earn double the rate of return of Alberta Montney wells is used by critics as proof that the royalty is too low, and by industry as proof that B.C. geology and infrastructure—not only the royalty—drive returns. Both readings can be partly true. A high rate of return on a public reservoir is exactly the condition in which a rent-collecting owner raises the royalty rather than the condition in which it lowers it.

CAPP's 2026 overview emphasizes cumulative royalties since 1950, employment, municipal taxes, and the prospect that LNG exports will raise both producer netbacks and government revenue. That is the growth-first frame. It is not a rebuttal of Olewiler's rate-of-rent analysis; it is a different objective function.

12. Comparative benchmarks

12.1 Alberta

Alberta's post-2017 Modernized Royalty Framework uses a revenue-minus-cost logic with a 5 percent pre-payout rate and a sliding post-payout rate. It was itself the product of a review that found vintage programs and well-class proliferation unworkable. B.C.'s 2021 assessors treated Alberta as the closest comparator, not as a ceiling. On many Montney pads the two provinces are substitutes. A durable B.C. disadvantage on fiscal take is therefore a political choice, not a geological necessity. Conversely, a B.C. rate far above Alberta's, without an offsetting locational advantage, would move rigs across the boundary. B.C.'s locational advantage, as Stanford argues, is the coast: pipeline tolls from Alberta to Kitimat or Prince Rupert are not free.

12.2 Norway and the rent-tax tradition

Norway combines a corporate tax with a special petroleum tax aimed at rent, and channels the proceeds into a sovereign fund. State ownership through Equinor and the State's Direct Financial Interest gives the public a working interest as well as a fiscal interest. British Columbia has never chosen that model. BCPC in the 1970s was a marketing monopolist, not an equity owner of reservoirs. Comparing B.C. royalties to the Norwegian government take is therefore a comparison of regimes, not of rates. The relevant lesson is institutional: a high take is sustainable when the state also shares downside risk and invests the proceeds. A high headline royalty with no savings rule and no risk-sharing will be lobbied down at the first price slump.

12.3 Mining tax in the same province

B.C. mining uses a two-stage mineral tax rather than a volumetric royalty on most metals. The contrast is clarifying. Mining tax is avowedly a tax on mineral profit. Oil and gas royalty is avowedly an owner's share. Yet both systems, in practice, allow cost deductions that make them look like profit taxes, and both are attacked as too high by operators and too low by fiscal hawks. The label does not determine the incidence. The base, the allowed costs, and the rate do.

13. First Nations, Yahey, and the royalty as a treaty instrument

Revenue-sharing agreements that pay a percentage of provincial gas royalties to Treaty 8 nations convert the Crown royalty into a treaty-implementation payment. Diluting the royalty therefore dilutes reconciliation cash even if the text of the agreements is unchanged. Stanford's August 2026 Tyee essay made that the political centre of the argument: further concessions "would harm reconciliation (through royalty-sharing agreements with First Nations) as well as the budget."

The nations are not a monolith. Some First Nations have equity or benefits agreements with LNG and pipeline projects and support development on negotiated terms. The First Nations Natural Gas Alliance publicizes the fiscal upside of higher volumes. The four chiefs who wrote Eby in July 2026 are asserting a different interest: that the public owner, and the nations whose territory produces the gas, should not lock in a low share on the eve of an LNG-driven expansion. Both positions are intelligible. They are not the same position.

Yahey does not dictate a royalty rate. It does dictate that the Crown cannot treat northeastern B.C. as an empty hinterland whose only fiscal relationship to the resource is a cheque to Victoria. Any historically literate account of "tax versus royalty" after 2021 has to include that constraint.

14. Synthesis: what the history shows

- **Ownership came first.** British Columbia is a royalty jurisdiction because the Crown owns the reservoir. Taxes are supplements. When royalties fail, the public share fails.
- **Gross royalties are simple; net royalties are fights about costs.** Every move from the 1950s "free and clear" schedule toward GCA, PCOS, deep-well credits, infrastructure credits, and drilling-and-completion allowances has shifted rent through the cost side rather than the rate side.
- **Vintage and incentive stacking is the provincial disease.** Base 9/12/15, old/new/third-tier oil, low-productivity, marginal, ultra-marginal, Tier 1/Tier 2 deep wells: each patch was rational at birth and collectively unintelligible by 2021.
- **Federal tax law can recharacterize a royalty as a tax.** 1974 proved that Ottawa will not sit still if provincial charges devour the federal corporate-tax base. The current deductibility peace is a policy choice, not a constitutional guarantee.
- **Volume is not rent.** Production can double while royalties fall. That is the 2008–2025 record. Credits and low prices explain most of it; design explains the rest.
- **Price assumptions are policy.** A budget that uses the wrong netback does not merely mis-score a line item. It changes the political feasible set for the next royalty regulation.
- **Reconciliation is now inside the royalty formula.** After Yahey, a giveaway of Crown rent is also a giveaway of the base for nation-to-nation fiscal arrangements.

15. Implications for the 2027 framework

A durable settlement would do five things the historical record suggests are jointly necessary.

First, publish the price basis. If royalties are levied on plant inlet, budget forecasts should use plant inlet. If the new framework moves valuation to plant outlet or to an LNG-linked netback, say so, and show the conversion. Opacity is how 1992's relatively clean code became 2021's "broken" system.

Second, define allowed costs as averages, not as each firm's invoice. Well-specific cost recovery rewards cost inflation. Alberta's C* analog and Norway's uplift-and-audit model both treat cost as a parameter to be disciplined, not as a number to be reimbursed.

Third, separate rent collection from industrial policy. If the province wants roads, electrification, or methane abatement, it should buy those things with transparent expenditure programs, not with royalty credits that zero out the owner's share. Credits that can be deducted against royalties will always be worth more to a high-profit firm than a grant of equal face value, which is why industry prefers them.

Fourth, state the target as a range of government take across price cases, and test it against independent models—including Treaty 8's. A 50 percent after-cost goal that delivers 11–14 percent in the nations' model, or 20–30 percent in a 2024 joint model, is not a goal. It is a slogan.

Fifth, decide whether any of the rent will be saved. Without a Hartwick rule, every royalty dollar is a current consumption dollar. That may be a legitimate social choice. It should not be an accidental one.

16. Conclusion

The X post that occasioned this paper pointed to a single news story. The story pointed to a budget table, a minister's talking point, and a letter from Treaty 8. Behind those documents sits a seventy-year argument about what the people of British Columbia are owed when a company sells gas that sat under Treaty 8 territory before there was a province.

Tax and royalty are different claims on that gas. A tax treats the producer as a citizen-firm and skims a share of profit. A royalty treats the producer as a tenant and reserves a share of the landlord's property. British Columbia chose the landlord model, then spent decades allowing the tenant to deduct the renovations. The 2021 review named the result. The 2022 announcement promised to reverse it. The 2026 reporting suggests the reversal is still in doubt, and that part of the doubt is arithmetic.

If the plant-inlet error is real, it should be corrected in public before 1 January 2027. If the new framework's profit capture is as low as Treaty 8's experts calculate, the government should either defend that number as a conscious competitiveness policy or change it. What history does not support is the claim that this is a new dilemma. It is the same dilemma W.A.C. Bennett faced when he signed long-term export gas, that Barrett faced when he inserted BCPC into the pipe, that Turner faced when he disallowed royalty deductions, that Olewiler and Winter faced when they opened the credit ledgers, and that every energy minister faces when a company says the capital will go to Alberta. The resource is still in the ground. The owner is still the public. The instrument is still, overwhelmingly, the royalty. The only open question is how much of the rent the owner intends to keep.

Selected sources and further reading

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This paper is a synthesis of public sources available on 26 August 2026. It is not an official government, First Nation, or industry document. Budget-model claims attributed to Olewiler, Treaty 8 technical staff, and BIV’s unnamed sources have not been independently re-audited here. Readers should treat those magnitudes as expert estimates pending a published reconciliation by the Ministry of Finance.